Acme Ltd

ACME · Mainboard IPO · Open 13 Oct 2026 – close 15 Oct 2026 · Price band ₹100–₹105 · Lot 142 shares · Minimum investment ₹14,910 (lot 142 × upper band ₹105)

1 Summary

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Confidence: **MEDIUM**

ISSUE SIZE	OFS SHARE OF ISSUE	P/E AT UPPER BAND VS PEER MEDIAN	GMP (UNOFFICIAL)
₹500 cr (p. 19)	**60% of issue** computed from p. 19	**15× vs 38×** IPO computed from p. 21, p. 287; exchange price band; 60% discount to peer median	₹42 unofficial; claimed by IPO Watch, as of 09 Oct 2026

Why

1. P/E of 15× is a deep discount to the peer median of 38×.
2. Revenue grew from ₹295 cr to ₹412.6 cr in two years.
3. 60% of the issue is an offer for sale.

Top red flags

RED FLAG Cash from operations fell to ₹12 cr against PAT of ₹41.3 cr.

RED FLAG All manufacturing is at one plant in Pune.

RED FLAG Largest customer is 38.4% of revenue.

Positives

POSITIVE RoNW of 14.2% with low debt.

How to read this report: (p. 287) is the RHP page a number is printed on; computed from p. X, p. Y marks a number Python worked out from RHP figures; purple *claimed by …* marks a third-party number, not from the RHP.

2 Offer structure

Mostly an offer for sale by the promoter and a PE fund.

Fresh issue vs offer for sale



computed from p. 19

Issue size	₹500 cr (p. 19)
Fresh issue	₹200 cr (p. 19)
Offer for sale	₹300 cr (p. 19)
OFS shares	1,25,000 equity shares (p. 20)
Shares before the issue	4,00,00,000 equity shares (p. 21)
Shares after the issue	5,90,47,619 equity shares (p. 21)
Promoter holding before	78.5% (p. 88)
Promoter holding after	61.2% (p. 88)

Market cap at upper band	₹620 cr (computed from p. 21; exchange price band)
OFS share of issue	60% of issue (computed from p. 19)
Dilution	32.26% of post-issue shares (computed from p. 21)
Promoter holding change	-17.3 pp (computed from p. 88)
QIB / NII / retail	50% (p. 22) / 15% (p. 22) / 35% (p. 22)
Anchor portion	*could not verify*

Selling shareholders

Name	Category	Shares offered	Holding after
Rakesh Sharma	promoter	75,000 equity shares (p. 20)	40.1% (p. 20)
Bluewater PE Fund I	investor	50,000 equity shares (p. 20)	0% (p. 20)

Use of fresh-issue proceeds

Object	Amount
Repayment of borrowings	₹120 cr (p. 95)
New plant at Pune	₹45 cr (p. 95)
General corporate purposes	₹35 cr (p. 95)
GCP share of the fresh issue	17.5% of fresh issue (computed from p. 19, p. 95)

3 Business

What it sells: Aluminium die-cast parts for two-wheeler makers in India.

RED FLAG Customer concentration: largest customer 38.4% of revenue (> 20%); top 10 customers 81% of revenue (> 50%) (p. 152)

RED FLAG Single-plant dependence: "one plant in Pune" (p. 31)

Concentration

Largest customer	38.4% (p. 152)
Top 10 customers	81% (p. 152)
Largest supplier	22% (p. 153)
Order book	₹620 cr (p. 155)
Single plant	Yes “one plant in Pune” (p. 31)
Single geography	No

Revenue mix

Segment	Basis	Share
Two-wheeler OEMs	segment	72% (p. 150)
Exports	geography	11% (p. 151)

Capacity

Facility	Installed capacity	Utilisation
Pune plant	24,000 tonnes per annum (p. 160)	78% (p. 160)

Strengths the company claims

POSITIVE Long relationships with OEMs (p. 148)

Competitors named

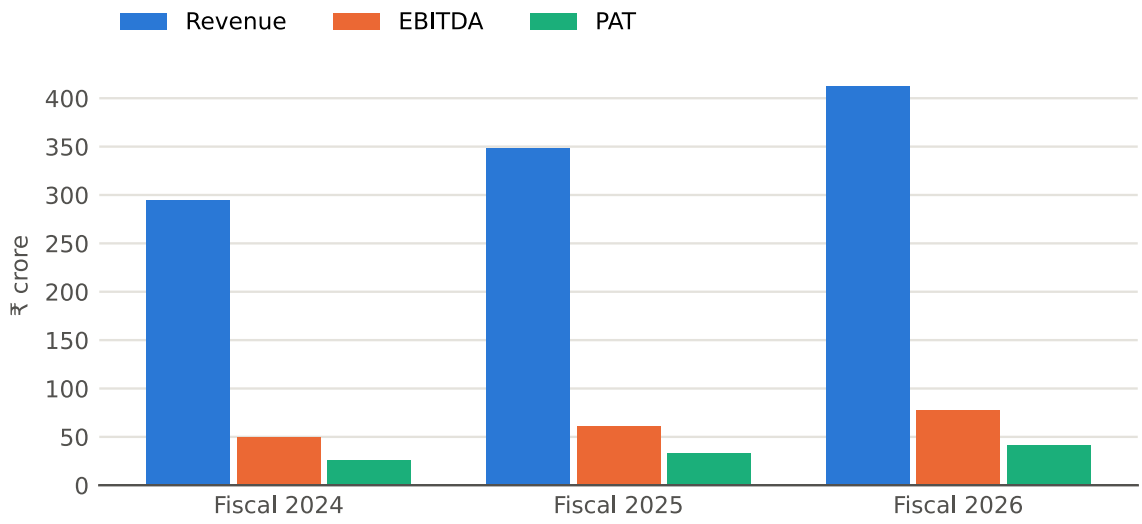
- Sundaram Clayton (p. 140)

Industry claims

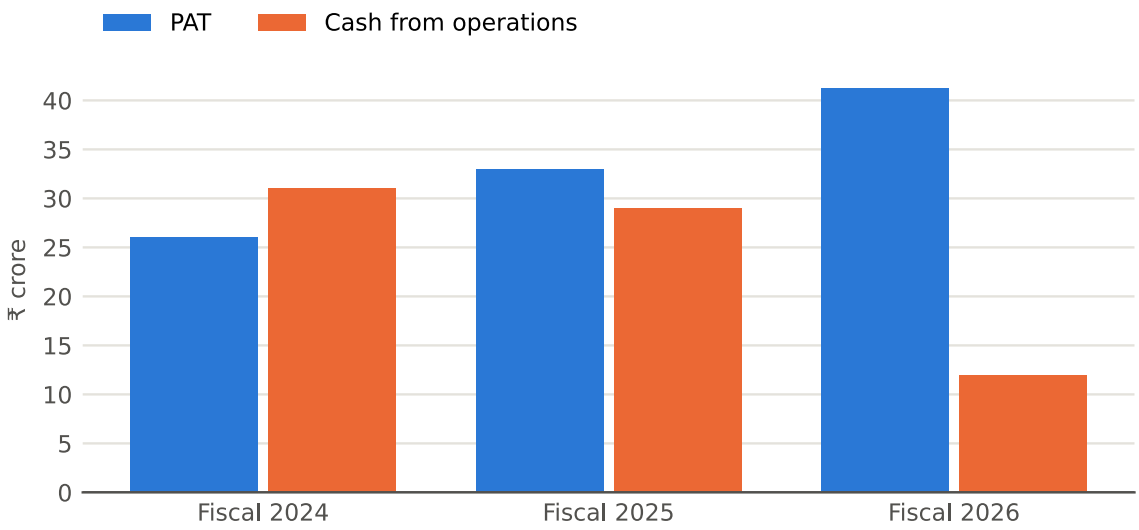
Indian die-casting market grows 11% a year to FY30 — 11% (p. 120) (per company-commissioned industry report, p. 120)

4 Financials

	Fiscal 2026	Fiscal 2025	Fiscal 2024
Revenue from operations	₹412.6 cr (p. 287)	₹348 cr (p. 287)	₹295 cr (p. 287)
Total income	₹420.85 cr (p. 287)	₹354.96 cr (p. 287)	₹300.9 cr (p. 287)
EBITDA	₹78 cr (p. 289)	₹61 cr (p. 289)	₹50 cr (p. 289)
Profit after tax	₹41.26 cr (p. 287)	₹33 cr (p. 287)	₹26 cr (p. 287)
Cash from operations	₹12 cr (p. 291)	₹29 cr (p. 291)	₹31 cr (p. 291)
Capex	-₹31 cr (p. 291)	-₹31 cr (p. 291)	-₹31 cr (p. 291)
Total borrowings	₹180 cr (p. 288)	₹180 cr (p. 288)	₹180 cr (p. 288)
Cash and equivalents	₹24 cr (p. 288)	₹24 cr (p. 288)	₹24 cr (p. 288)
Net worth	₹520 cr (p. 288)	₹520 cr (p. 288)	₹520 cr (p. 288)
Trade receivables	₹90 cr (p. 288)	₹90 cr (p. 288)	₹90 cr (p. 288)
Inventories	₹70 cr (p. 288)	₹70 cr (p. 288)	₹70 cr (p. 288)
Trade payables	₹65 cr (p. 288)	₹65 cr (p. 288)	₹65 cr (p. 288)
RoNW	14.2% (p. 292)	14.2% (p. 292)	14.2% (p. 292)
RoCE	*not disclosed*	*not disclosed*	*not disclosed*



Revenue, EBITDA and PAT, ₹ crore (verified figures only; page references in the table above).



PAT vs cash from operations, ₹ crore: profit that does not turn into cash shows as a gap.

Financial checks

RED FLAG Cash from operations is below PAT in Fiscal 2026 (CFO_BELOW_PAT)

Checked, clear: DEBT_RISING.

Auditor

RED FLAG Pending GST demand on the Pune unit — emphasis of matter

> “we draw attention to Note 42” (p. 301)

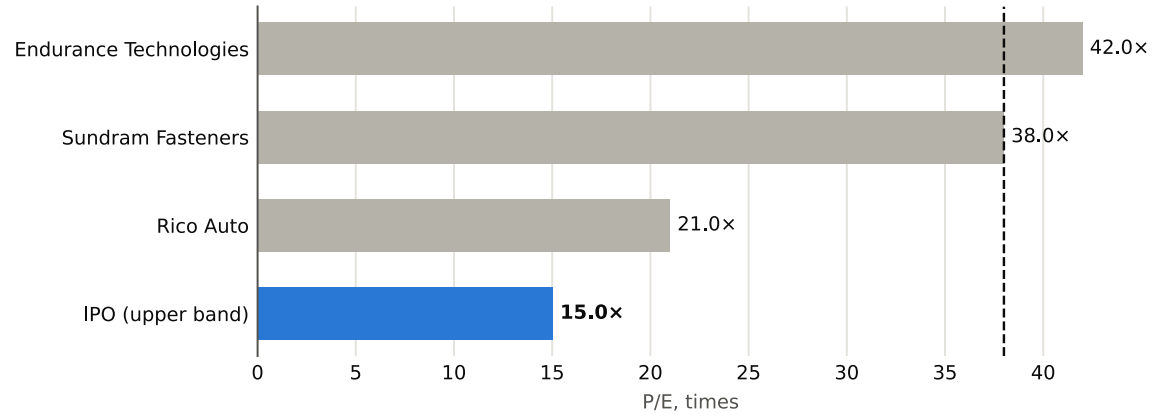
Restatement: no adjustments “no restatement adjustments” (p. 300)

5 Valuation vs peers

At the upper band the IPO trades at 15× earnings, a 60% discount to the peer median of 38×.

IPO market cap at upper band: ₹620 cr (computed from p. 21; exchange price band)

Multiple	IPO (upper band)	Peer median	Min	Max	Premium / discount
P/E steady earner	15× (computed from p. 21, p. 287; exchange price band)	38× (computed from claimed by NSE, as of 2026-10-09)	21× (computed from claimed by NSE, as of 2026-10-09)	42× (computed from claimed by NSE, as of 2026-10-09)	-60.4% (computed from claimed by NSE, as of 2026-10-09)



Headline multiple per peer (third-party data), the IPO at the upper band in blue, peer median dashed.

Peers from the RHP

Peer	Price	Market cap	P/E
Endurance Technologies ENDURANCE	₹1,850 *claimed by NSE, as of 09 Oct 2026*	₹26,000 cr *claimed by NSE, as of 09 Oct 2026*	42× (computed from claimed by NSE, as of 2026-10-09)
Sundram Fasteners SUNDRMFAST	₹1,850 *claimed by NSE, as of 09 Oct 2026*	₹26,000 cr *claimed by NSE, as of 09 Oct 2026*	38× (computed from claimed by NSE, as of 2026-10-09)
Rico Auto RICOAUTO	₹1,850 *claimed by NSE, as of 09 Oct 2026*	₹26,000 cr *claimed by NSE, as of 09 Oct 2026*	21× (computed from claimed by NSE, as of 2026-10-09)

Agent-suggested peers (not in the RHP)

Peer	Price	Market cap	P/E
Craftsman Automation also die-casts		*data unavailable: no quote*	—

Basis for offer price (RHP)

RED FLAG Insiders bought far cheaper: upper band ₹105 / primary WACA ₹35 = 3.0x (> 2x) (p. 115)

P/E at floor / cap	9.7× (p. 111) / 10.2× (p. 111)
Industry P/E high / low / average	48× (p. 111) / 22× (p. 111) / 33× (p. 111)
Primary WACA	₹35 (p. 115); upper band is 3× (computed from p. 115; exchange price band)
Secondary WACA	₹80 (p. 115); upper band is 1.3× (computed from p. 115; exchange price band)
NAV per share, Fiscal 2026	₹130 (p. 110)
RoNW, Fiscal 2026	14.2% (p. 110)

Key performance indicator	Values
EBITDA margin	Fiscal 2026: 18.9% (p. 113)

Period	Basic EPS	Diluted EPS
Fiscal 2026	₹10.32 (p. 110)	₹10.3 (p. 110)

Listed peer (RHP table)	P/E	EPS	RoNW	NAV / share	Revenue
Endurance Technologies	42× (p. 112)	₹48.1 (p. 112)	15% (p. 112)	₹320 (p. 112)	₹10,200 cr (p. 112)

6 Risks and fine print

All red flags raised by the checks

RED FLAG Offer for sale is 60.0% of the issue (p. 19)

RED FLAG Customer concentration: largest customer 38.4% of revenue (> 20%); top 10 customers 81% of revenue (> 50%) (p. 152)

RED FLAG Single-plant dependence: "one plant in Pune" (p. 31)

RED FLAG Group companies in the same line of business: Sharma Castings Pvt Ltd (p. 230)

RED FLAG Insiders bought far cheaper: upper band ₹105 / primary WACA ₹35 = 3.0x (> 2x) (p. 115)

Top company-specific risks

#	Risk	As printed	Figure
1	single plant	“All our manufacturing is at one plant in Pune.” (p. 31)	—
2	customer concentration	“<script>alert('pwned')</script> & not bold” (p. 32)	38.4% (p. 32)

3 risk factors in all, 1 of them generic.

Outstanding litigation

Party	Type	Direction	Cases	Amount
company	tax	against	7 cases (p. 410)	₹34 cr (p. 410)

Contingent liabilities: ₹82 cr (p. 330)

Related-party transactions

Counterparty	Category	Period	Amount
Sharma Castings Pvt Ltd (promoter entity)	purchases	Fiscal 2026	₹21 cr (p. 335)

Pending or expired approvals

RED FLAG Consent to operate, Pune plant — pending, critical to the business

> “application for renewal is pending” (p. 420)

Other material disclosures

A SEBI show-cause notice to a promoter entity. It may delay the listing. (p. 440)

7 Promoters and governance

RED FLAG Group companies in the same line of business: Sharma Castings Pvt Ltd (p. 230)

Promoters

Rakesh Sharma — Founder; 30 years in auto components. (p. 200)

Board size	₹6 (p. 205)
Independent directors	₹3 (p. 205)
Promoter shares pledged	0 equity shares (p. 89)
Promoter pay as % of PAT	1.1% of PAT (computed from p. 210, p. 287)

Remuneration (latest full year)

Name	Role	Amount
Rakesh Sharma (promoter)	Managing Director	₹45.5 lakh (p. 210)

Group companies

Sharma Castings Pvt Ltd — **same line of business**
“engaged in a similar line of business” (p. 230)

Subsidiaries

None disclosed.

Dividends

Fiscal 2026	₹2.5 (p. 250)

Auditor changes (3 years)

None disclosed.

Key management changes (3 years)

None disclosed.

8 Market sentiment

Everything on this page is third-party opinion or data, not from the RHP. GMP is unofficial and never drives the verdict.

Stance tally	1 subscribe · 1 listing gains only
Grey market premium (unofficial)	₹42 *claimed by IPO Watch, as of 09 Oct 2026*
Subscription, total	3.4× *claimed by NSE, as of 09 Oct 2026*
QIB / NII / retail	*not available* / *not available* / 5.1× *claimed by NSE, as of 09 Oct 2026*

Bull points

POSITIVE Valuation well below listed peers

Bear points

RED FLAG One plant makes all output

Sources

Published	Source	Title	Stance
10 Oct 2026	Moneyblog	Acme IPO review: cheap, but one plant P/E: 18× *claimed by Moneyblog, as of 09 Oct 2026*	subscribe
11 Oct 2026	Broker X	Broker note	listing gains only

9 Appendix

Fields that could not be verified or were not disclosed

Field	Status
financials.periods[0].roce_pct	not disclosed
financials.periods[1].roce_pct	not disclosed
financials.periods[2].roce_pct	not disclosed
offer.anchor_pct	could not verify
price_basis.waca_primary.cap_price_times	not disclosed
price_basis.waca_primary.floor_price_times	not disclosed
price_basis.waca_secondary.cap_price_times	not disclosed
price_basis.waca_secondary.floor_price_times	not disclosed

Third-party data sources

Source	As of	What	Link
Broker X	11 Oct 2026	article: Broker note	javascript:alert(1)
IPO Watch	09 Oct 2026	GMP	https://ipowatch.example/gmp
Moneyblog	09 Oct 2026	P/E	https://example.test/acme-ipo-review
Moneyblog	10 Oct 2026	article: Acme IPO review: cheap, but one plant	https://example.test/acme-ipo-review
NSE	09 Oct 2026	subscription retail, subscription, price, market_cap	https://www.nseindia.com/quote

Synthesizer checks

- dropped a reason citing an unknown item

RHP

RHP SHA-256	abababababababababababababababababababababababababababababababababababab
RHP link	https://example.test/rhp.pdf
Report status	complete

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